

NOTES

forming part of the consolidated financial statements

10. Other financial assets

[Item No. I(h)(iv) and II(b)(vii), Page F142]

A. Non-current

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Security deposits:		
Considered good - Unsecured	390.54	331.20
Credit impaired	116.11	116.27
Less: Allowance for credit losses	116.11	116.27
	390.54	331.20
(b) Interest accrued on deposits, loans and advances:		
Considered good - Unsecured	0.01	0.17
	0.01	0.17
(c) Earmarked balances with banks	298.07	107.78
(d) Other balances with banks	20.56	24.57
(e) Others:		
Considered good - Unsecured	119.41	1,198.62
Credit impaired	5.57	20.65
Less: Allowance for credit losses	5.57	20.65
	119.41	1,198.62
	828.59	1,662.34

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forming part of the consolidated financial statements

10. Other financial assets (Contd.)

[Item No. I(h)(iv) and II(b)(vii), Page F142]

B. Current

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Security deposits:		
Considered good - Unsecured	36.60	57.32
Credit impaired	2.28	2.28
Less: Allowance for credit losses	2.28	2.28
	36.60	57.32
(b) Interest accrued on deposits, loans and advances:		
Considered good - Unsecured	73.35	146.72
	73.35	146.72
(c) Earmarked balances with banks	102.90	-
(d) Other balances with banks	90.55	-
(e) Others:		
Considered good - Unsecured	2,093.10	1,252.10
Credit impaired	149.91	146.55
Less: Allowance for credit losses	149.91	146.55
	2,093.10	1,252.10
	2,396.50	1,456.14

- (i) Security deposits are primarily in relation to public utility services and rental agreements. It includes deposit with Tata Sons Private Limited ₹11.25 crore (March 31, 2025: ₹11.25 crore).
- (ii) Non-current and current earmarked balances with banks represent deposits in escrow account. These are primarily placed as security with government bodies, margin money against issue of bank guarantees, etc.
- (iii) Other non-current balances with banks represent bank deposits not due for realisation within 12 months from the balance sheet date.
- (iv) Current other financial assets include amount receivable from post-employment benefit funds ₹83.92 crore (March 31, 2025: ₹153.47 crore) on account of retirement benefit obligations paid by the Group directly.
- (v) Non-current and current other financial assets include:
- lease receivable of ₹1,012.14 crore recognised on account of long-term arrangement with an erstwhile joint venture (currently, it is a subsidiary) on de-recognition of assets as on March 31, 2025.
 - advance paid in respect of de-allocated coal blocks ₹487.71 crore (March 31, 2025: ₹487.71 crore) which is recoverable from the new allottee once the mine is allotted.

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11. Retirement benefit assets and obligations

[Item No. I(i), II(c), V(c) and VI(c), Page F142 and F143]

(I) Retirement benefit assets

A. Non-current

	As at March 31, 2026	As at March 31, 2025
(a) Pension	15.86	12.67
(b) Retiring gratuities	70.52	-
	86.38	12.67

B. Current

	As at March 31, 2026	As at March 31, 2025
(a) Retiring gratuities	-	2.33
	-	2.33

(II) Retirement benefit obligations

A. Non-current

	As at March 31, 2026	As at March 31, 2025
(a) Pension	679.42	600.10
(b) Retiring gratuities	67.07	385.29
(c) Post-retirement medical benefits	2,042.16	1,758.09
(d) Other defined benefits	500.98	528.53
	3,289.63	3,272.01

B. Current

	As at March 31, 2026	As at March 31, 2025
(a) Pension	2.89	20.47
(b) Retiring gratuities	9.89	8.10
(c) Post-retirement medical benefits	107.55	96.49
(d) Other defined benefits	28.30	29.56
	148.63	154.62

- (i) Detailed disclosure in respect of post-retirement defined benefit schemes is provided in note 36, page F220.
- (ii) Other defined benefits include shortfall on account of interest cost on provident fund of ₹24.42 crore (March 31, 2025: ₹24.42 crore).

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12. Income taxes

[Item No. I(k), V(e) and IX, Page F142, F143 and F144]

A. Income tax expenses/(benefit)

Indian companies are subject to income tax in India on the basis of their standalone financial statements. Indian companies can claim tax exemptions/deductions under specific sections of the Income-tax Act, 1961 subject to fulfilment of prescribed conditions as may be applicable. The Company and some of its Indian subsidiaries had opted for the new tax regime under Section 115BAA of the Act, which provides a domestic company with an option to pay tax at a rate of 22% (effective rate of 25.168%). The lower rate shall be applicable subject to certain conditions, including that the total income should be computed without claiming specific deduction or exemptions.

As per the tax laws, business loss can be carried forward for a maximum period of eight assessment years immediately succeeding the assessment year to which the loss pertains. Unabsorbed depreciation can be carried forward for an indefinite period.

Apart from India, major tax jurisdictions for the Group include Singapore, United Kingdom and Netherlands. The number of years that are subject to tax assessments varies depending on the tax jurisdiction.

The Organisation for Economic Cooperation and Development (OECD) has released the model rules for global minimum tax ('Pillar Two rules'). Pillar Two rules have been enacted or substantively enacted in most jurisdictions in which the Group operates. It applies to Groups with consolidated annual revenues of €750m or more and are designed to ensure that such Groups pay a minimum level of tax of 15% in each jurisdiction in which they operate. The Group is within the scope of the OECD Pillar Two rules. Based on the current assessment, the Group does not expect a material financial impact to Pillar Two rules on its consolidated financial statement. In accordance with Amendments to Ind AS 12, the Group applies the mandatory relief from accounting for deferred tax pursuant to the implementation of Pillar Two rules.

The reconciliation of estimated income tax to income tax expense is as below:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Profit/(loss) before tax	15,968.69	8,412.87
Income tax expenses at tax rates applicable to individual entities	3,859.41	2,082.36
(a) Income exempt from tax/items not deductible	289.16	510.86
(b) Undistributed earnings of joint ventures and equity accounted investees	(8.64)	7.45
(c) Deferred tax assets not recognised because realisation is not probable	1,528.26	2,975.77
(d) Adjustments to taxes in respect of prior periods	499.05	56.50
(e) Utilisation/credit of unrecognised tax losses, unabsorbed depreciation and other tax benefits	(952.23)	(584.88)
(f) Impact of changes in tax rates	(132.14)	191.03
Tax expenses as reported	5,082.87	5,239.09

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forming part of the consolidated financial statements

12. Income taxes (Contd.)

[Item No. I(k), V(e) and IX, Page F142, F143 and F144]

B. Deferred tax assets/(liabilities)

(i) Components of deferred tax assets and liabilities as at March 31, 2026 is as below:

(₹ crore)

	Balance as at April 1, 2025	Recognised/ (reversed) in profit and loss during the year	Recognised/ (reversed) in other comprehensive income during the year	Additions relating to acquisitions	Other movements during the year	Exchange differences on consolidation during the year	Balance as at March 31, 2026
Deferred tax assets:							
Tax-loss carry forwards	3,142.93	(747.48)	-	1.54	2,486.70	197.43	5,081.12
Expenses allowable for tax purposes when paid/written off	3,522.32	(9.42)	(1.17)	45.00	(2,984.09)	61.83	634.47
Others	298.18	1,364.42	(57.31)	(12.49)	618.45	269.80	2,481.05
	6,963.43	607.52	(58.48)	34.05	121.06	529.06	8,196.64
Deferred tax liabilities:							
Property, plant and equipment and Intangible assets	17,329.17	209.19	-	630.55	104.86	(8.91)	18,264.86
Retirement benefit assets/obligations	(266.33)	133.08	121.91	(2.08)	11.48	(13.31)	(15.25)
Others	394.52	86.75	-	-	4.69	53.82	539.78
	17,457.36	429.02	121.91	628.47	121.03	31.60	18,789.39
Net deferred tax assets/(liabilities)	(10,493.93)	178.50	(180.39)	(594.42)	0.03	497.46	(10,592.75)
Disclosed as:							
Deferred tax assets	3,936.22						4,739.49
Deferred tax liabilities	14,430.15						15,332.24
	(10,493.93)						(10,592.75)

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forming part of the consolidated financial statements

12. Income taxes (Contd.)

[Item No. I(k), V(e) and IX, Page F142, F143 and F144]

Components of deferred tax assets and liabilities as at March 31, 2025 is as below:

(₹ crore)

	Balance as at April 1, 2024	Recognised/ (reversed) in profit and loss during the year	Recognised/ (reversed) in other comprehensive income during the year	Additions relating to acquisitions	Other movements during the year	Exchange differences on consolidation during the year	Balance as at March 31, 2025
Deferred tax assets:							
Tax-loss carry forwards	4,015.61	(1,061.39)	-	-	153.33	35.38	3,142.93
Expenses allowable for tax purposes when paid/written off	4,367.14	(865.23)	1.02	-	(0.05)	19.44	3,522.32
Others	366.43	(105.80)	(1.07)	-	(0.04)	38.66	298.18
	8,749.18	(2,032.42)	(0.05)	-	153.24	93.48	6,963.43
Deferred tax liabilities:							
Property, plant and equipment and Intangible assets	17,646.11	(466.13)	-	-	151.56	(2.37)	17,329.17
Retirement benefit assets/obligations	(266.02)	(17.88)	22.52	-	-	(4.95)	(266.33)
Others	250.35	134.70	0.73	-	(0.05)	8.79	394.52
	17,630.44	(349.31)	23.25	-	151.51	1.47	17,457.36
Net deferred tax assets/(liabilities)	(8,881.26)	(1,683.11)	(23.30)	-	1.73	92.01	(10,493.93)
Disclosed as:							
Deferred tax assets	4,111.08						3,936.22
Deferred tax liabilities	12,992.34						14,430.15
	(8,881.26)						(10,493.93)

- (ii) Deferred tax assets have been recognised based on an evaluation of whether it is probable that taxable profits will be earned in future accounting periods considering all the available evidences, including approved budgets and forecasts by the Board of the respective entities.
- (iii) Deferred tax assets have not been recognised in respect of tax losses of **₹82,587.80** crore (March 31, 2025: ₹76,144.03 crore) as its recovery is not considered probable in the foreseeable future. Such losses primarily relate to the Group's European operations.
- (iv) Tax losses in respect of which deferred tax asset has not been recognised, expire unutilised based on the year of origination as below:

(₹ crore)

	As at March 31, 2026
Within five years	106.59
Later than five year but less than ten years	9.44
Later than ten years but less than twenty years	7,099.24
No expiry	75,372.53
	82,587.80

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forming part of the consolidated financial statements

12. Income taxes (Contd.)

[Item No. I(k), V(e) and IX, Page F142, F143 and F144]

- (v) Unused tax credits and other deductible temporary differences in respect of which deferred tax asset has not been recognised, expire unutilised based on the year of origination as below:

(₹ crore)

	As at March 31, 2026
Later than five year but less than ten years	14.77
Later than ten years but less than twenty years	466.91
No expiry	23,380.39
	23,862.07

- (vi) As at March 31, 2026, aggregate amount of temporary differences associated with undistributed earnings of subsidiaries for which deferred tax liability has not been recognised is **₹4,736.11** crore (March 31, 2025: ₹6,007.97 crore). No liability has been recognised in respect of such difference because the Group is in a position to control the timing of reversal of the temporary difference and it is probable that such difference will not reverse in the foreseeable future.

13. Other assets

[Item No. I(l) and II(e), Page F142]

A. Non-current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
(a) Capital advances:		
Considered good - Unsecured	1,604.34	914.28
Considered doubtful - Unsecured	116.10	97.94
Less: Provision for doubtful advances	116.10	97.94
	1,604.34	914.28
(b) Advances with public bodies:		
Considered good - Unsecured	2,086.89	2,023.10
Considered doubtful - Unsecured	328.17	328.17
Less: Provision for doubtful advances	328.17	328.17
	2,086.89	2,023.10
(c) Capital advances to related parties:		
Considered good - Unsecured	71.74	51.04
(d) Others:		
Considered good - Unsecured	144.31	176.51
Considered doubtful - Unsecured	103.78	43.68
Less: Provision for doubtful advances	103.78	43.68
	144.31	176.51
	3,907.28	3,164.93

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forming part of the consolidated financial statements

13. Other assets (Contd.)

[Item No. I(l) and II(e), Page F142]

B. Current

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Capital advances:		
Considered good - unsecured	0.67	3.77
(b) Advance with public bodies:		
Considered good - Unsecured	4,313.57	3,320.83
Considered doubtful - Unsecured	10.46	10.11
Less: Provision for doubtful advances	10.46	10.11
	4,313.57	3,320.83
(c) Advances to related parties:		
Considered good - Unsecured	1,250.11	123.29
(d) Others:		
Considered good - Unsecured	35.98	1,090.55
Considered doubtful - Unsecured	200.07	195.17
Less: Provision for doubtful advances	200.07	195.17
	35.98	1,090.55
	5,600.33	4,538.44

- (i) Advances with public bodies primarily relate to input credit entitlements and amounts paid under protest in respect of demands and claims from regulatory authorities.
- (ii) Others include advanced against supply of goods/services and advances paid to employees.

14. Inventories

[Item No. II(a), Page F142]

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Raw materials	15,375.38	14,662.48
(b) Work-in-progress	6,620.78	5,435.59
(c) Finished and semi-finished goods	18,110.08	17,606.67
(d) Stock-in-trade	79.11	72.55
(e) Stores and spares	7,063.87	6,812.65
	47,249.22	44,589.94
Included above, goods-in-transit:[^]		
(i) Raw materials	3,444.12	2,759.60
(ii) Finished and semi-finished goods	508.18	237.93
(iii) Stock-in-trade	9.78	9.33
(iv) Stores and spares	56.66	113.06
	4,018.74	3,119.92

[^]Goods-in-transit represent amount of purchased material which are in transit as on date

- (i) Value of inventories above is stated after provisions (net of reversal) for slow-moving and obsolete items and write-downs to net realisable value **₹2,983.79** crore (March 31, 2025: ₹2,656.82 crore).
- (ii) The cost of inventories recognised as an expense includes reversal of **₹113.61** crore (March 31, 2025: charge of ₹270.39 crore) in respect of write-down of inventory to net realisable value.

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15. Trade receivables

[Item No. II(b)(ii), Page F142]

	As at March 31, 2026	As at March 31, 2025
Considered good-Unsecured	4,954.84	5,323.92
Credit impaired	308.76	219.33
	5,263.60	5,543.25
Less: Allowance for credit losses	346.71	283.19
	4,916.89	5,260.06

In determining allowance for credit losses of trade receivables, the Group has used the practical expedient by computing the expected credit loss allowance based on a provision matrix. The provision matrix takes into account historical credit loss experience and is adjusted for forward looking information. The expected credit loss allowance is based on ageing of receivables that are due and the rates used in provision matrix.

(i) Movement in allowance for credit losses of receivables is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	283.19	334.57
Charge/(released) during the year	48.81	(54.28)
Addition relating to acquisitions	3.50	-
Exchange differences on consolidation	11.21	2.90
Balance at the end of the year	346.71	283.19

(ii) Ageing of trade receivable and credit risk arising therefrom is as below:

As at March 31, 2026

	Not due	Outstanding for the following periods from the due date of payment					Total
		Less than 6 months	6 months- 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed - considered good	3,800.70	727.36	177.99	123.83	25.04	76.39	4,931.31
Undisputed - credit impaired	2.27	46.37	2.35	3.57	12.00	108.90	175.46
Disputed - considered good	-	0.51	2.41	0.64	-	12.99	16.55
Disputed - credit impaired	-	-	1.03	7.50	1.04	123.73	133.30
	3,802.97	774.24	183.78	135.54	38.08	322.01	5,256.62
Less: Allowance for credit losses	8.85	60.17	11.46	18.28	16.78	231.17	346.71
	3,794.12	714.07	172.32	117.26	21.30	90.84	4,909.91
Add: Unbilled trade receivables							6.98
Total trade receivables							4,916.89

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forming part of the consolidated financial statements

15. Trade receivables (Contd.)

[Item No. II(b)(ii), Page F142]

As at March 31, 2025

(₹ crore)

	Not due	Outstanding for the following periods from the due date of payment					Total
		Less than 6 months	6 months-1 year	1-2 years	2-3 years	More than 3 years	
Undisputed - considered good	3,826.53	1,221.54	64.58	58.31	41.15	73.24	5,285.35
Undisputed - credit impaired	2.75	6.13	3.95	9.67	71.51	25.72	119.73
Disputed - considered good	-	-	0.35	2.14	0.32	26.45	29.26
Disputed - credit impaired	-	0.09	3.04	7.35	3.43	85.69	99.60
	3,829.28	1,227.76	71.92	77.47	116.41	211.10	5,533.94
Less: Allowance for credit losses	11.35	40.22	9.51	20.85	76.58	124.68	283.19
	3,817.93	1,187.54	62.41	56.62	39.83	86.42	5,250.75
Add: Unbilled trade receivables							9.31
Total trade receivables							5,260.06

- (iii) The Group considers its maximum exposure to credit risk with respect to customers as at March 31, 2026 to be ₹2,909.11 crore (March 31, 2025: ₹3,300.11 crore), which is the carrying value of trade receivables after allowance for credit losses and considering insurance cover. The Group had insurance cover as at March 31, 2026 ₹2,007.78 crore (March 31, 2025: ₹1,959.95 crore).

The Group's exposure to customers is diversified and there is no concentration of credit risk with respect to any particular customer.

- (iv) There are no outstanding receivables due from directors or other officers of the Company.

16. Cash and cash equivalents

[Item No. II(b)(iii), Page F142]

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
(a) Cash on hand	3.03	1.39
(b) Cheques, drafts on hand	0.45	2.68
(c) Remittances in-transit	403.69	483.12
(d) Unrestricted balances with banks	8,477.78	9,117.77
	8,884.95	9,604.96

- (i) Currency profile of cash and cash equivalents is as below:

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
INR	3,266.14	3,437.65
GBP	262.05	849.91
EURO	2,439.53	3,435.06
USD	1,178.27	882.17
Others	1,738.96	1,000.17
	8,884.95	9,604.96

INR-Indian Rupees, GBP- Great Britain Pound, USD-United States Dollars. Others primarily include SGD-Singapore Dollars, CAD- Canadian Dollars, THB-Thai Baht, AUD- Austrian dollars and ZAR - South African Rand.